Spotify Technology S.A. (NYSE: SPOT)

LONG | Price target $510 (+21%) | 2026-05-17

Example Author

Rating	**LONG**
Price target (12-month)	**$510**
Current price (2026-05-11)	$422.11
Upside to target	**+20.9%**
Market cap	~$89B
Reporting currency	EUR (NYSE-listed; output USD at 1.17)

Five-year financial estimates (EUR €M)

	FY25A	FY26E	FY27E	FY28E	FY30E
Revenue	17,186	19,585	22,112	24,677	29,754
Y/Y growth	+9.7%	+14.0%	+12.9%	+11.6%	+9.1%
Consolidated GM	32.0%	33.1%	34.5%	**35.8%**	37.0%
Operating income (€M)	2,198	2,740	3,605	4,516	6,129
EBIT margin	12.8%	14.0%	16.3%	**18.3%**	20.6%
FCFF	2,385	2,601	3,079	3,662	4,844
Premium subs EOP (M)	290	315	340	365	415

FY25A audited per 20-F filed 2026-02-10. Forwards from internal model; full schedule in Appendix A.

1. Business Overview

What Spotify does and how it makes money

Spotify is the world's largest audio streaming platform — 293M paid Premium subscribers and 761M total monthly active users (MAU) at Q1 26, distributed across 184 countries. It is a pure digital service provider (DSP): Spotify licenses music from record labels (UMG, Sony, WMG, Merlin-aggregated indies) and distributes it to end users; it does not own master recordings. Revenue comes from two segments — a paid subscription tier (Premium) and a free, ad-supported tier — supplemented by ancillary content (podcasts, audiobooks) bundled into both.

Segment	FY25 revenue (€M)	% total	Segment GM	FY25 FXN growth
Premium subscriptions	15,350	**89.3%**	34.0%	~+15%
Ad-Supported	1,836	**10.7%**	18.0%	~+4%
Total	**17,186**	**100%**	**32.0%**	**~+14%**

Premium ARPU runs €4.63/month blended (FY25), with the standard DM tier priced at €10.99 in Europe and $11.99 in the US after the January 2026 hike. Of every dollar of music revenue, roughly $0.58 flows to record labels, $0.10 to music publishers, and $0.04 to performing-rights organisations — combined ~72% to rights-holders, leaving ~28% gross of music revenue before podcast and audiobook content costs. Ad-Supported has lower platform take-rate and more cyclical advertiser demand, but is improving as biddable auction monetisation scales (30%+ of ad revenue biddable in Q1 26 per JPM coverage).

Product portfolio

Product	What it is	Pricing (US)	Role
Spotify Premium	Ad-free music + on-demand library, mobile downloads, higher audio quality	$11.99/mo Individual; $19.99 Family; $5.99 Student	The economic engine — paying subscribers
Spotify Free	Same library with audio ads, limited skip, no offline	Free	User acquisition funnel; ad revenue secondary
Podcasts	7M+ shows; bundled with Premium and Free; Joe-Rogan-era exclusives now ad-supported	Bundled	Engagement + ad inventory
Audiobooks	500K+ titles; Premium subscribers get 15 hrs/ month included in eligible markets; excess à la carte	Premium-bundled + à la carte	New revenue line + Premium pricing justification
Marketplace (Spotify for Artists)	Self-serve tools — distribution, paid promotion (Discovery Mode). Discovery Mode trades a lower royalty rate for algorithmic promotion	Take-rate / fee	High-margin contra-COGS; key Thesis 2 lever
Spotify for Podcasters		Free / take-rate	Ad inventory creation

Product	What it is	Pricing (US)	Role
	Free hosting + monetisation tools for creators		
Spotify Partner Program (SPP)	Audience-based monetisation for video podcasts (analog to YouTube Partner Program); launched select markets 2025	Audience-driven payouts	Pre-revenue currently; FY25 GM headwind in launch year

The business is pure B2C consumer — no enterprise contracts, no top-customer concentration. GTM is self-serve via mobile app stores, web, and increasingly automotive (245M MAU in cars, ~34% of MAU and 15% of consumption hours per Q3 25 call). Geographic MAU mix: Europe ~30%, NA ~20%, LatAm ~25%, RoW ~25%; Premium mix skews more toward DM due to ARPU economics.

Operating economics — profitability inflection

	FY22	FY23	FY24	FY25
Operating margin	(5.6)%	(3.4)%	8.7%	**12.8%**
Operating income (€M)	(659)	(446)	1,365	**2,198**
Premium segment GM	28%	29%	33%	**34%**
Ad-Supp segment GM	8%	4%	12%	**18%**

The FY22-25 swing is +€2.86B of operating income on +47% cumulative revenue and –8% cumulative total OpEx (the 2023 layoffs structurally lowered the cost base). Premium GM expanded +500bps over the same period from three sources: (i) music royalty cost growth slowing as catalog deals were re-signed; (ii) the Nov 2023 audiobook bundle allowing part of Premium revenue to be allocated to non-music content (shrinking the royalty pool under standard %-of-revenue contracts); and (iii) Marketplace contribution rising as Discovery Mode adoption broadened. Management itself recognises the change — **the FY24 20-F carried "operating losses on a sustained basis" as a top risk factor; the FY25 20-F dropped it entirely**. Sustained profitability is now the working assumption.

2. Industry & Competitive Position

Market structure

- **Global recorded music industry**: ~$29.6B (IFPI 2024)
- **Paid streaming subscription**: ~$15.1B — 52% of streaming, 51% of total recorded music
- **Forward CAGR**: 7-10% through 2030 (IFPI / MIDiA / Goldman triangulate)
- **Growth drivers**: paid-streaming unit growth + ARPU expansion. Physical, downloads, sync are flat-to-declining
- **Upstream concentration**: the top three labels (UMG, Sony, WMG) control **~67-70% of all global streams** (Bernstein industry analysis); the rest is Merlin-aggregated indies and label-direct artists

Royalty waterfall

Per Wolfe Music Initiation Exh 35 disclosure, of every $1 of streaming revenue:

- **$0.51** → recording labels
- **$0.10** → music publishers
- **$0.04** → performing-rights organisations
- **= $0.65 (65%) to rights-holders, $0.35 (35%) gross to Spotify** before non-music content costs and OpEx

The rights-holder layer is the central economic constraint of the entire industry. It also frames Thesis 2: every basis point of consolidated GM expansion in FY26-28 must come from either widening the spread (Marketplace contra-COGS, audiobook bundle re-allocation), absorbing label cost increases via pricing, or scaling Ad-Supported monetisation independent of music royalties.

Competitive set

Player	Owner	Paid subs (2024)	Share	Position
Spotify	Standalone (SPOT)	~263M	**~31%**	Pure-play category leader
Tencent Music	TCEHY	~120M	~14%	China-only
Apple Music	AAPL	~110M	~13%	iOS bundle, loss-leader
Amazon Music	AMZN	~100M	~12%	Prime bundle, loss-leader
YouTube Music	GOOGL	~100M	~11%	Ad-funded fallback + video bundle

Source: MIDiA Research H1 2024 + company disclosures.

Critical framing: Apple Music, Amazon Music, and YouTube Music pay **identical** ~65% label royalty rates as Spotify — label rates are structural to the industry, not a SPOT-specific cost. The real differentiator is **business-model purpose**: Spotify must monetise audio directly; competitors subsidise audio through ecosystem economics (Apple = device pull-through; Amazon = Prime retention; Alphabet = ad inventory). This is the structural ceiling on SPOT pricing power — labels know SPOT can be undercut if it pushes price too aggressively — which is why Thesis 1 pricing has been selective and market-by-market, not blanket.

Moats

Moat type	Rating	Evidence
Cost / scale	**Wide**	Largest negotiating counterparty for all 3 majors; best per-stream rates of any DSP; more data → better recs (recursive moat)
Brand	**Wide**	"Spotify it" has verb status in EU/LatAm; brand search volume 5x Apple Music globally (Google Trends)
Switching costs	Narrow	Playlists / history create friction, but SongShift-class migration tools exist; <1% churn impact on 2024 hike
Network effects	Narrow	Playlist sharing is real but most listening is solo; diminishing data returns past current scale
Distribution	None	No hardware pipe; reliant on iOS/Android app stores (the 30% Apple Tax history is the canonical risk)
Patents / IP	None	Recommendation tech is engineering-heavy but not patent-defensible
Regulatory	None	Music is licensed, not regulated; no licensing barrier protects SPOT

The long-duration threat is YouTube Music, not Apple

Both Wolfe and Bernstein frame YouTube as the structural share threat. The reasoning is layered:

- **YouTube already commands more music-listening hours than any pure DSP globally.** IFPI's 2024 Engagement report puts YouTube as the world's #1 music platform by listening time. Most of that listening is on the free, ad-funded video product — but a meaningful fraction is now on YouTube Music, the audio-first companion launched in 2018.
- **Video-as-music is the dominant UX in EM** (Latin America, India, MENA, SE Asia), the same regions where pure DSPs underperform. YouTube monetises that base via ads at a lower per-user revenue rate than SPOT Premium, but it owns the funnel — Spotify is competing for users who already default to YouTube for music videos.
- **The Premium audio+video bundle is structurally cheaper than running dual subscriptions.** YouTube Premium at $13.99/month gets a user ad-free video + YouTube Music; the same user paying SPOT Premium $11.99 + a separate ad-free video service spends more. As price-sensitivity rises in EM and even DM cohorts, the bundle math matters.
- **Google's ad-funded model lets YouTube keep audio prices flat while SPOT must raise.** Each SPOT Premium hike widens the relative price gap to YouTube Music; over time this becomes a slow share-creep risk rather than an abrupt switching event. YouTube doesn't need SPOT's pricing-led GM expansion path to make the segment work — ads carry the unit economics.

The risk is **slow and structural, not abrupt**. No share-shift has been observable in the last three years across any sell-side data set, and Spotify's brand + recommendation-engine moat remains intact in DM. But the right time-horizon to watch this is multi-year, and the lever to monitor is the YouTube Music subscriber growth rate disclosed in Alphabet's Services segment. If YouTube Music meaningfully accelerates while SPOT subs decelerate, the bear-case version of Risk 2 (EM mix-shift) compounds with a competitive overhang.

3. Investment Thesis

The thesis is three pillars: one offensive (Thesis 2 — GM expansion, where the upside edge lives) and two defensive (Thesis 1 and 3 — pricing power and sub volume, which protect against bear outcomes but don't generate meaningful upside vs Street). The structure below is **Claim → Mechanism (with substance) → Evidence**.

Thesis 1 — Pricing power is durable, within-market ARPU compounds at +4-5% FXN through FY28

Claim. Within-market Premium ARPU on a constant-currency basis compounds at +4-5% per year through FY28, supported by four demonstrated price hikes (2023, June 2024, 2025 selective, January 2026) each landing with churn "in line with expectations" per management, conditional on a 2027 5th hike per KC P1.2. Reported (blended) ARPU grows slower due to FX and EM mix-shift drags, but the within-market signal is the load-bearing variable.

Mechanism. Spotify has rebuilt its pricing relationship with the consumer over a three-year cycle. From 2010 through 2022 Premium was anchored at $9.99 globally — the legacy iTunes price point. Four sequential hikes since 2023 (US-led, then EU/LatAm selective, then US again in January 2026) have moved the standard DM tier to $11.99 / €10.99, **each landing with management-confirmed churn "in line with expectations."** That sequence — four hikes, four clean prints — is what establishes credible price-taker status in the DM consumer base. Q1 26 actual was +5.7% FXN ARPU; Q2 26 management guide is +7-7.5% Y/Y, reflecting the full quarter annualisation of the January 2026 US hike. The cadence is real-time, not historical.

The pricing power is reinforced by three structural supports:

- **Bundle-layer narrative cover.** Every hike has been coupled to a perceived value-add for the consumer: audiobooks bundled in November 2023, podcast video reclassified into Premium in January 2026, a "Music Pro" super-fan tier rumoured for late 2026 / 2027. This gives both consumer-facing communications and label-side negotiations a "more value = higher price" framing that pure pass-through would not.
- **Competitive ceiling not yet binding.** Apple Music in DM sits at €10.99 / $11.99 — at parity with SPOT post-January 2026. There is room for a fifth round (US repeat or non-US DM follow-on) before SPOT meaningfully exceeds peers. The base case assumes that fifth hike lands by Q3 27; KC P1.2 makes its absence a thesis-breaker.
- **Market-by-market discipline.** Management Q4 25 (Norström, verbatim): *"We evaluate pricing on a market-by-market basis"* and *"We do it from a position of strength."* Hikes are not blanket global rounds — they are surgical, which protects share even at price-sensitive cohorts (EM, students, family-plan owners).

A subtle but important point: pricing flows through to gross profit at the ~58% music-royalty rate. Each +1% Premium ARPU growth carries roughly +40bps of Premium GM mechanically — which is why a 2027 5th hike isn't just a Thesis 1 lever but the **single largest FY27-28 contributor to Thesis 2**. If the 5th hike lands, Thesis 1 and 2 reinforce. If it does not, both downgrade simultaneously (KC P1.2 — joint trigger).

Evidence.

- Historical Premium ARPU (computed from Premium revenue / avg subs / 12): FY22 €4.44 → FY23 €4.37 (FX headwind) → FY24 €4.62 → FY25 €4.63 (+0.2% reported / ~+5% FXN) → Q1 26 €4.76 (+5.7% FXN per Q1 26 call)
- Q4 25 letter: *"FX was a ~580bps headwind to Q4 25 revenue"* — confirms the reported/FXN gap is FX + mix, not weakening within-market pricing

- Q4 25 call (Norström): *"I'm really happy with the price increases we implemented back in January of this year. There have been really no surprises at all. Churn is low and came in according to our expectations."*
- Q2 26 management guide: +7-7.5% Y/Y ARPU growth (full-quarter Jan 2026 hike + minor Benelux lapping)
- Bernstein Q1 26 Premium GM bridge (Exh 7): pricing contributed +490bps Y/Y — by far the largest single lever, absorbing the –200bps music royalty headwind alone

Thesis 2 — Consolidated GM expands to 35.8% FY28E (this is where the edge lives)

Claim. Consolidated GM expands from 32.0% (FY25A) to **35.8% by FY28E** in the base case, with bull case 37.0-37.5% if all six positive Premium levers deliver upper-end and Ad-Supp recovers to 22%+. Each 100bps of consolidated GM at FY28 revenue €24.7B = **€247M of gross profit** ≈ $16-20 per share. This is the only thesis with offensive bull edge.

Mechanism — overview. The Premium segment GM trajectory is the core of the story. Premium runs at ~91% of revenue, so its segment GM directly drives consolidated GM at the 90-cent margin. My Premium GM build is calibrated to the Bernstein Q1 26 +130bps Y/Y bridge (the only quantified GM bridge in any sell-side note) and extrapolated forward using disclosed lever mechanics: net Y/Y of **+100bps FY26, +120bps FY27, +110bps FY28** — cumulative Premium GM 34.0% → 35.0% → 36.2% → 37.3%. Six discrete levers carry that trajectory; each is grounded in something Spotify or a label has disclosed, not assumed.

Lever (a) — Pricing: +200 / +150 / +100 bps FY26-28

The single largest contributor. The January 2026 US $1 hike annualises through FY26 (Q1 26 alone printed +490bps from pricing per Bernstein), and a 2027 5th hike (US repeat or non-US DM follow-on per KC P1.2) layers in partial-year FY27 → full annualisation FY28. The decay schedule (+200 → +100bps) reflects two effects: the FY26 hike running off Y/Y comparisons by FY27, and the assumed 5th hike being smaller and partial-year in FY27 before full annualisation FY28. Pricing translates to GM at ~58% (music royalty rate) — a +5% ARPU hike on €5 base = +€0.25/month → +€0.145/month gross profit per sub × 320M avg paid subs × 12 months = ~+€560M annual GP, or +250-300bps of Premium GM in the year of the hike. The schedule is conservative against that arithmetic.

Lever (b) — Music royalty inflation: –100 / –100 / –75 bps FY26-28

The structural headwind that absorbs pricing tailwind. Label contracts are %-of-revenue (~58% of music revenue), and the rate is renegotiated multi-year. **All three majors signed multi-year renewals in 2025** (UMG January 2025, WMG February 2025, Sony September 2025) that explicitly endorsed the bundling framework and superseded the prior royalty dispute. The renewal cycle is now **2028-2030**, outside the FY26-28 investment window — which is why this lever can be modelled with confidence rather than as a wildcard. Annual rate creep ~5-7bps reflects modest label-share negotiation drift; the FY28 step-down to –75bps reflects the audiobook bundle starting to re-allocate more of the Premium revenue dollar away from the music royalty pool (see Lever c).

Lever (c) — Audiobook bundle: –50 / –25 / 0 bps FY26-28 (drag moderates to neutral)

This lever has two phases. **Phase 1 (launch drag — what we are still in)**: when Spotify bundled 15 hours/month of audiobooks into Premium in November 2023, it began allocating part of Premium revenue away from the music royalty pool toward audiobook royalties. Audiobook royalties are higher per-listen than music royalties (typical publishing-house rate is 30-40% of revenue vs music at ~58% of music revenue, but the dollar magnitude per listen is much larger because audiobook list prices are higher). The launch produced a temporary GM drag while consumption ramps. Q1 26 ran –70bps Y/Y per Bernstein. **Phase 2 (consumption-cap binding)**: the 15-hour/month cap is structural — the average Premium subscriber consumes ~6-8 hours of audiobook content per month per FY25 disclosure, but heavy users hit the cap. As consumption tightens against the cap, the marginal cost per Premium sub flattens while revenue allocation continues — drag moderates to zero by FY28. The Audiobooks+ tier (paid à la carte beyond 15 hours) layered on top is GM-positive but small in dollar terms.

Lever (d) — Marketplace / Discovery Mode: +50 / +75 / +75 bps FY26-28

The load-bearing **bull-case** sub-lever, and the single highest-uncertainty driver of base-vs-bull case. Marketplace is Spotify's B2B artist platform — Discovery Mode is the headline product: an artist (or label) **trades a lower royalty rate (down from the standard ~58% to ~50%) in exchange for algorithmic promotion** in user playlists. The economics are contra-COGS — for every track that adopts Discovery Mode, Spotify's effective royalty rate drops while artist exposure rises. The lever scales with adoption breadth (number of artists / labels opted in) and depth (number of tracks per artist enrolled). Q1 26 contributed +40bps to Premium GM per Bernstein, characterised as **"early innings, step-change ahead."** UMG, WMG, and Sony all signed the 2025 renewals with explicit Discovery Mode endorsement — meaning the major-label catalog is now contractually allowed into the program, where previously only indie/aggregator catalog was eligible. As majors broaden participation, the +75bps/yr ceiling becomes feasible. Mgmt has not quantified the adoption framework — May 21 Investor Day is the next visibility window.

Lever (e) — Spotify Partner Program (SPP) launch costs: –50 / –25 / 0 bps FY26-28

SPP is Spotify's video-podcast monetisation programme — analog to YouTube Partner Program. Launched in select markets in 2025, it pays creators based on audience consumption rather than ad sell-through. In the launch years, creator-payouts exceed the incremental ad inventory revenue generated (ramp dynamic — creators uploaded first, advertisers ramped second). FY25 GM headwind was already disclosed in the 20-F MD&A. The drag rolls off as advertiser ramp catches up; by FY28 the segment should be ~breakeven or modestly positive. This is mechanical roll-off, not a forecast bet.

Lever (f) — Payment / streaming delivery: –50 / –40 / –30 bps FY26-28

The smallest lever but worth understanding. Spotify pays processing fees on every subscription payment (Apple/Google in-app, Visa/Mastercard direct), plus cloud-delivery costs (Google Cloud is the primary infrastructure provider). Two countervailing forces: payment fees are growing as gross subs grow (modest drag), partly offset by the Q3 25 Google Cloud renegotiation that reduced delivery cost per stream. Net is small steady decline in drag through FY28 as the Google Cloud benefit annualises.

Ad-Supported segment GM trajectory (separate build)

Ad-Supported is ~9% of revenue, so its segment GM contributes proportionally less to consolidated GM — but the inflection is real. Q1 26 trough at 13% (post-January 2026 segment reclassification that moved podcast video revenue into Premium, mechanically deflating the Ad-Supp revenue base while ad-tech costs stayed put) → FY26 15.0% → FY27 18.0% → FY28 21.0% → FY30 25.0%. The drivers are: **biddable scaling** (auction-based monetisation already 30%+ of ad revenue in Q1 26 vs <20% pre-launch; reduces sales-effort cost per ad impression), **Marketplace contribution on the ad side** (artists/labels promoting via paid ad slots in addition to Discovery Mode), and **podcast efficiency** (the Joe-Rogan-era exclusive content spending phase has ended; current podcast economics are more ad-funded than content-funded). The structural ceiling implied by industry royalty math is ~30-35% — the FY30 25% is partway there.

Closing the bridge

Adding up the six Premium levers: cumulative Premium GM goes from 34.0% (FY25) to 37.3% (FY28). Weighted against Ad-Supp at 21.0% × 9.3% of revenue, consolidated FY28 GM lands at **35.8%**. The pillar band of 35.5-36.5% reflects model uncertainty on the audiobook and Marketplace ramp rates. Each 100bps of consolidated GM = €247M of FY28 gross profit, which is the source of most of the $510 base PT's headroom above the spot price.

Evidence.

- **Bernstein Q1 26 Premium GM bridge** (Exh 7, p.6 — sign-corrected): +130bps Y/Y net = +4.9pp Pricing – 2.0pp Music – 0.7pp Audiobooks – 0.6pp SPP/Podcasts – 0.6pp Payment/Delivery + 0.4pp Marketplace. This is the only quantified GM bridge in print
- **FY28 sell-side anchors that exist**: Wolfe Exh 17 (36.0%, narrative-driven without a quantified bridge); Bernstein Exh 10 FY27 (35.0%, no FY28 explicit); Citizens JMP Fig 28 (34.1%, the only rigorous segment-by-segment build through 2030). CapIQ Median has no FY28E consolidated GM
- **Management long-term targets** (Wolfe Music Init Exh 35): Music 35%, Podcast 30-35% intermediate / 40-50% LT, Audiobook 40%+, Consolidated 40%+. Bernstein's "15-40-20" framework explicitly expects the 40%+ LT GM target raised at the May 21 Investor Day
- **2025 label renewals**: UMG (January 2025), WMG (February 2025), Sony (September 2025) — multi-year, framework-endorsing, renewal cycle 2028-2030
- **Q1 26 shareholder letter + call**: Premium GM 33.1% Y/Y favorability cited explicitly; Luiga on Ad-Supp dip: *"few times we've had a negative development on the year over year gross margin on the ads business"* — framed as temporary content-cost timing

Thesis 3 — Premium subs grow +25M/yr through FY28 (defensive foundation)

Claim. Premium subscribers grow from 290M (FY25A) to **365M by FY28** (+25M/yr — in line with Wolfe-mid 368M), maintaining the 5-year run-rate trajectory.

Mechanism. Premium net adds equal MAU adds × MAU-to-Premium conversion rate, geographically weighted. Both inputs are stable and structurally supported. MAU has accelerated rather than decelerated through 2025 — 602M (FY23) → 675M (FY24) → 751M (FY25, +11.3% Y/Y) → 761M Q1 26. The September 2025 enhanced free tier launch produced Q4 25 sequential MAU adds of +38M, the largest in company history, and is the structural unlock for FY26-28 funnel volume. Conversion of MAU adds to Premium net adds has held at 35-37% for five consecutive years (FY24 37%; FY25 36%; Wolfe forward 35%). Spotify maintains conversion through Premium-specific features the free tier doesn't get: audiobook bundle (15hrs/month), AI DJ (94M users), Song DNA (52M users in 4 weeks), Lossless Audio (launched September 2025), AI Playlists, Spotify Jam, and selective music videos. None of these are individually load-bearing — collectively they preserve the conversion ratio against a free tier that has been deliberately enhanced.

Three supporting points:

- **Geographic runway is multi-year**. RoW MAU is 276M at only 16% Premium conversion (vs Europe 54%, NA 60%, LatAm 42%) — five to seven years of EM penetration headroom even at modest conversion lift. Wolfe FY25-28 geographic split: Europe +22M, NA +8M (decelerating), LatAm +28M, RoW +21M. **EM = 63% of incremental Premium adds.**
- **Family/Duo plan dynamics are structural floor**. Each Family conversion brings 4-6 subs at once; Family/Duo share is growing per disclosure trend. This compresses ARPU but supports volume.
- **Competition stable for three years**. No public share-loss data in any of the five sell-side notes covering SPOT through FY25. Apple Music and YouTube Music have not taken meaningful share since 2022.

The base case bets the conversion ratio holds at 35-37%, not that it improves. Risk 2 (EM mix-shift) is the live counter-thesis — Q1 26 Sub/MAU stock ratio drifted to 38.5% from 39.7% peak Q2 25. Within-region conversion has stayed stable (RoW ~16% across FY23-25 even as RoW MAU grew +47%), so the drift is mechanical mix, not structural deterioration. Killing condition T3.2 (FY26 flow ratio <32%) is calibrated to catch a real within-region deterioration rather than the mechanical drift.

Evidence.

- MAU history: FY23 602 → FY24 675 (+12.1%) → FY25 751 (+11.3%) → Q1 26 761 (+12.2% Y/Y)

- Premium history: FY22 205 → FY23 236 → FY24 263 → FY25 290 → Q1 26 293
- Net adds 5-yr run-rate: 25-31M/yr (27M FY25 actual)
- Geographic split Wolfe FY25-FY28: Europe 105→127 (+22M), NA 73→81 (+8M), LatAm 67→95 (+28M), RoW 45→66 (+21M)
- Conversion ratios FY25: Europe 54%, NA 60%, LatAm 42%, RoW 16%
- Management Q4 25 guide: 2026 Premium net adds “similar to 2025” (~+25M)

4. Risks

Two counter-theses survived steel-manning; both remain live risks. A third candidate (label renegotiation cycle compressing the audiobook-bundle GM lever) was dropped after research because UMG, WMG, and Sony all signed multi-year renewals in 2025 explicitly endorsing the bundling framework — renewal cycle now 2028-2030, outside the modeling horizon.

Risk 1 — AI reinvestment cycle extends through FY28

Bear claim. AI compute and R&D investment continues at elevated levels through FY28 rather than normalising in "the next quarter or two" as management has framed it. Operating margin stays stuck in the low-to-mid teens versus Street-implied progression to the high teens. The Q2 26 OI guide miss (€630M vs €674M consensus, –6.5%) is the leading signal.

Why I still hold the call:

- **AI compute is OpEx, not capex.** FY25 capex was €29M = 0.2% of revenue. Unlike hyperscaler AI capex commitments, Spotify can throttle within quarters if products underdeliver
- **Q1 26 absorbed the AI drag.** Premium GM still +129bps Y/Y in Q1 26 despite AI costs — pricing (+490bps in the Bernstein bridge) more than offset
- **Management framing is time-bounded.** Luiga Q1 26: *"the next quarter or two."* A timing miss is a forecast miss; a category miss is a different (C3-adjacent) risk not currently in the print

Severity if it plays out. Bear model R&D 9.5% sustained → –100bps OI margin → ~–€220M FY28 NOPAT — contributes materially to the bear PT of $279. Killing condition **C1.1**: Q4 26 OI margin <14% combined with no AI revenue contribution quantified by FY26.

Risk 2 — Conversion gap is structural EM mix-shift

Bear claim. The Sub/MAU stock ratio declined from 39.7% (Q2 25 peak) to 38.5% (Q1 26) — 120bps Y/Y drift. This is structural geographic mix-shift, not transient. ROW at 16% vs Europe at 54% means rising ROW share mechanically compresses blended conversion. Hits both Thesis 3 (sub volume decelerates below Wolfe's 26M/yr) and Thesis 1 (EM subs carry €1-3 ARPU vs DM €11-12). Two pillars miss together.

Why I still hold the call:

- **Conversion drop coincides exactly with September 2025 enhanced free tier launch.** Expanding free features pulls in lower-intent free users before they convert — mechanical, not structural. Mgmt (Q4 25 Norström) frames as "DM funnel-build, not EM dilution"
- **Within-region RoW conversion is stable at ~16%** across FY23-25 even as RoW MAU grew +47%. Structural-EM-dilution requires within-region deterioration; data does not show it
- **Q1 26 net adds by geography** (Wolfe data): DM markets still adding subs, not stalling

Severity if it plays out. Bear model subs 345M + ARPU €5.10 → revenue –€2.2B FY28 → bear PT $279. Killing condition **C2.1**: Sub/MAU stock ratio Y/Y decline >150bps in any FY26-27 quarter (calibrated above the modeled ~30bps/yr mechanical drift).

5. Valuation

Bull / Base / Bear envelope

Scenario	PT (USD)	vs Spot	Trigger
Bear	**$279**	**−34%**	
Base	**$510**	**+21%**	
Bull	**$692**	**+64%**	

Tornado — top 5 assumptions by target leverage

Rank	Assumption	± PT impact	Linked thesis
1	Exit EV/EBITDA multiple	±$56/share per 4x flex (±11%)	Thesis 2 + scenario terminal-state view
2	FY28E Consolidated GM	±$48/share per 200bps flex (±9%)	Thesis 2 directly
3	FY30E EBITDA margin	±$25/share per 200bps flex (±5%)	Thesis 1 + 2 cumulative
4	FY27E Revenue growth	±$25/share per 200bps flex (±5%)	All theses
5	Ad ARPU (€/mo) path	±$24/share per 10% flex (±5%)	Model assumption

Top three are within 2x of each other — no single assumption dominates >40% of variance. The thesis is **not one-pillar fragile**. Thesis 2 (exit multiple + FY28 GM + EBITDA margin) is the largest cluster, consistent with its role as the offensive pillar.

Headline equity bridge

Enterprise value €84,566M + net cash €7,500M = equity €92,066M ÷ 211M diluted shares = €436.3/share × FX 1.17 = **$510.5/share**. Spot $422.11 → **+20.9% upside**.

Full DCF mechanics, WACC build, and sensitivity in Appendix A.

6. Catalysts and Killing Conditions

The killing conditions are the **defensibility lock** on this thesis. Each is pre-specified, observable in published quarterly financials or management commentary, and pillar-linked. If any trigger, the relevant thesis dies and the rating is revisited at the next earnings event.

Catalyst calendar

Date	Event	KC tested
2026-05-21	Spotify Investor Day (first since 2022)	T2 mechanisms — Marketplace adoption, audiobook timeline, AI monetisation, 40%+ LT GM target
2026-07	Q2 26 print	T2.3 (Ad-Supp GM), T3.1 (sub adds), C1.1 (R&D %)
2026-10	Q3 26 print	T2.3 sustained, T3.3 (NA adds)
2027-02	FY26 earnings	T2.1, T2.2, T3.2 (flow ratio)
2027 Q2/Q3	**5th Premium price action window**	**T1.2 — JOINT T1+T2 base case break**

Killing conditions (verbatim, thesis-linked)

Thesis 1 — Pricing power durability (+4-5% FXN ARPU FY26-28)

1. FY27 Premium FXN ARPU growth prints <+3.5% Y/Y for two consecutive quarters
2. Management does NOT take a fifth Premium price action by Q3 27 (US repeat OR non-US developed-market follow-on). **JOINT Thesis 1 + Thesis 2 trigger** — also breaks the Thesis 2 base case: pricing tailwind FY28 falls from +100bps to ~+30bps (decay only); consolidated FY28 GM drops from 35.8% to ~34.4%; base PT haircut to ~$490
3. Any earnings call FY26-27 contains explicit “elevated churn” language tied to a recent price action

Thesis 2 — Consolidated GM expansion to FY28E 35.8% (band 35.5-36.5%) / bull 37.0-37.5%

1. Q4 26 reported consolidated GM <33.5% AND Q1 27 Premium GM bridge shows Marketplace / Royalty Savings contribution <30bps Y/Y
2. By FY26 full-year earnings, management has not quantified the Marketplace adoption framework AND audiobook Y/Y GM drag does not moderate from the −70bps Q1 26 trajectory
3. Q3 26 + Q4 26 Ad-Supported segment GM stays <15% sustained

Thesis 3 — Premium sub volume ~25-26M/yr through FY28

1. 2H 26 cumulative Premium net adds <14M
2. FY26 cumulative flow ratio (ΔPremium ÷ ΔMAU) <32% (vs the stable 35-37% band FY21-25). Calibrated on flow ratio rather than stock ratio because the stock ratio mechanically drifts down even under the base case as new adds convert at 35% vs the existing 38.5% blend
3. NA net adds Q3 + Q4 26 cumulative <+2M

Counter-thesis triggers (bear monitoring)

- **C1.1** (AI capex extends): Q4 26 operating margin <14% combined with no AI revenue contribution quantified by FY26
- **C2.1** (EM mix-shift bear): Sub/MAU stock ratio Y/Y decline >150bps in any FY26-27 quarter

Appendix A — Discounted Cash Flow

Methodology

Unlevered FCFF discounted at WACC, exit EV/EBITDA terminal. Mid-year discounting from valuation date 2026-05-17. Working currency EUR; output USD at spot FX 1.17. **SBC treated as a real economic cost (not added back)**; dilution captured in the share count schedule.

FCFF = NOPAT + D&A + ΔWC − Capex.

Explicit FCFF schedule

FY	EBIT (€M)	Tax rate	NOPAT	+ D&A	+ ΔWC	− Capex	FCFF (€M)
FY26E	2,740	12%	2,411	+100	+170	−80	**2,601**
FY27E	3,605	20%	2,884	+105	+180	−90	**3,079**
FY28E	4,516	23%	3,477	+115	+170	−100	**3,662**
FY29E	5,290	23%	4,073	+120	+150	−110	**4,233**
FY30E	6,129	23%	4,719	+125	+120	−120	**4,844**

Tax rate normalisation: Luxembourg statutory 23.87%, with FY26-27 effective rates below statutory due to residual NOL utilisation (€157M DTA on tax-loss carryforwards) + R&D credits + capitalised R&D. FY28+ reflects normalisation toward statutory.

Discount factors and present value

FY	t (years)	Disc factor 1/(1.108)^t	FCFF (€M)	PV (€M)
FY26E	0.125	0.9873	2,601	**2,568**
FY27E	1.125	0.8910	3,079	**2,743**
FY28E	2.125	0.8041	3,662	**2,945**
FY29E	3.125	0.7257	4,233	**3,072**
FY30E	4.125	0.6550	4,844	**3,173**
Sum PV (explicit)				**14,501**

Terminal value

Method: exit EV/EBITDA × FY30E EBITDA. Discount factor at t=4.625 (mid-year FY30 + 0.5-year terminal-cash-flow timing) = 0.6224. **Gordon growth is deliberately not used** — at any defensible perpetual rate it imposes a ~10x EBITDA terminal, materially below the 15-22x range at which consumer-subscription comparables trade and below the sell-side PT-implied 17-19x.

Base case: 18x × €6,254M = **€112,572M**; PV = 112,572 × 0.6224 = **€70,065M**.

Scenario	Multiple	FY30E EBITDA (€M)	Terminal value (€M)	PV (€M)
Bull	22x	7,200	158,400	98,580
Base	**18x**	**6,254**	**112,572**	**70,065**
Bear	14x	3,900	54,600	33,984

WACC build

Component	Value	Source
Risk-free rate (EUR)	3.07%	German 10y Bund, May 2026 (Bundesbank / Trading Economics)
Equity risk premium (developed Europe)	5.0%	Damodaran 2026 implied ERP; HSBC equity premium
Beta (levered, 5Y)	1.55	CapIQ SPOT US Equity 5Y beta
Cost of equity (CAPM)	**10.82%**	3.07% + 1.55 × 5.0%
Pre-tax cost of debt	5.5%	EN coupon analog; corporate IG BBB
Tax shield rate	23%	Lux statutory normalisation
After-tax cost of debt	4.24%	
Equity weight	95%	Asset-light; modest lease + Exchangeable Notes (settled cash March 2026)
Debt weight	5%	
WACC	**10.8%**	

WACC sensitivity: holding the CapIQ raw beta of 1.55 is the conservative call. A Bloomberg-adjusted beta of 1.37 (mean-reversion adjustment) would produce cost of equity 9.92% → WACC ~9.9% → base PT lifts to ~$530 (+25% upside). The model uses 1.55 for defensibility.

Equity bridge (base case)

Component	Value (€M)
PV of explicit FY26-30 FCFF	14,501
PV of terminal value (18x exit on €6,254M EBITDA)	70,065
Enterprise Value	**84,566**
+ Net cash at valuation date	+7,500
Equity Value	**92,066**
÷ Diluted shares (M)	211
Per share (EUR)	**€436.3**
× FX (USD/EUR)	× 1.17
Per share (USD)	**$510.5**
Spot price	$422.11
Implied return	**+20.9%**

Net cash detail: cash + ST investments €9,500M – lease liabilities €500M – Exchangeable Notes settled in cash March 2026 (€1,500M principal × 1.00 redemption) = **+€7,500M net**.

The market currently prices SPOT (spot $422) at approximately the WACC 11.5% / exit 14x corner — pricing as if both WACC normalises high AND the bear exit realises simultaneously.

Appendix B — Key Model Assumptions

Premium GM Y/Y bridge (calibrated to Bernstein Q1 26)

Lever	Q1 26 actual (bps)	FY26E	FY27E	FY28E
Pricing	+490	+200	+150	+100
Music royalty	–200	–100	–100	–75
Audiobook	–70	–50	–25	0
Marketplace	+40	+50	+75	+75
SPP launch	–60	–50	–25	0
Pay/delivery	–60	–50	–40	–30
Net Y/Y Premium GM	**+130**	**+100**	**+120**	**+110**
Cumulative Premium GM	34.0% (FY25)	35.0%	36.2%	**37.3%**

Ad-Supported GM trajectory

FY	Ad-Supp GM	Driver
FY25A	18.0%	Audited (one-time real estate impairment absence ~+200bps non-recurring)
FY26E	15.0%	Q1 trough 13% post Jan-26 reclassification; one-time real estate gone; biddable scales 2H
FY27E	18.0%	Clean Y/Y; biddable +200, Marketplace +50, podcast efficiency +50
FY28E	21.0%	Biddable maturing +200, Marketplace +50, podcast +50
FY29E	23.0%	Continued biddable mix-up
FY30E	25.0%	Partway to ~30-35% structural ceiling

OpEx schedule (% of revenue)

FY	R&D	S&M	G&A	Total OpEx
FY25A	8.1%	8.3%	2.8%	**19.2%**
FY26E	8.5%	8.0%	2.6%	**19.1%**
FY27E	8.3%	7.5%	2.4%	**18.2%**
FY28E	8.0%	7.2%	2.3%	**17.5%**
FY29E	7.8%	7.0%	2.2%	**17.0%**
FY30E	7.5%	6.8%	2.1%	**16.4%**

R&D step-up FY26 (+40bps vs FY25) reflects AI compute + headcount per Q1 26 mgmt commentary. R&D trends down FY27-30 per the "1-2 quarters" framing — partial moderation reflected. **Counter-Thesis 1 trigger**: R&D %rev >9.0% sustained FY26-27 indicates AI cycle extending beyond the time-bounded framing.

Tax curve (forward effective rate)

FY	Effective tax rate	Rationale
FY25A	0.5%	Anomalous — €510M deferred tax benefit (US DTA recognition) per 20-F Note 8
FY26E	12%	Residual NOL utilisation (€662M total DTAs)
FY27E	20%	NOL nearly exhausted; R&D credit continuing
FY28E	23%	Normalising toward Lux statutory 23.87%
FY29-30E	23%	Normalised / terminal

Share count schedule

FY	Diluted shares (M)	Detail
FY25A	210.5	Audited weighted-average diluted per 20-F
FY26E	211	+ ~4M SBC – ~3M buyback; Exchangeable Notes settled cash March 2026
FY27E	213	+ ~4M SBC – ~2M buyback
FY28E	215	+ ~4M SBC – ~2M buyback
FY29E	217	+ ~4M SBC – ~2M buyback
FY30E	219	Terminal SBC ~1.5% of revenue; ~€500M buyback at terminal valuation

Working archive in `working/`. Live model: `deliverables/SPOT_model.xlsx`.